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CCS (Implementation of NPS) Rules, 2021

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CCS (Implementation of NPS) Rules, 2021

1. Short title and commencement:

These rules may be called the Central Civil Services (Implementation of National Pension System) Rules, 2021. They shall come into force on the date (30.03.2021) of their publication in the Official Gazette.

2. Application: -

These rules shall apply to the Government servants, including civilian Government servants in the Defence Services, appointed substantively to civil services and posts in connection with the affairs of the Union on or after **1st day of January, 2004**, but shall not apply to

- Railway servants;
- persons in casual and daily rated employment;
- persons paid from contingencies;
- members of the All India Services;
- persons locally recruited for services in diplomatic, consular or other Indian establishments in foreign countries;
- persons employed on contract;
- persons whose terms and conditions of service are regulated by or under the provisions of the Constitution or any other law for the time being in force; and
- persons to whom the Central Civil Services (Pension) Rules, 1972 (now 2021) apply in accordance with any special or general order issued by the Government.

3. Definitions: -

- "Accredited Bank" in relation to a Ministry or Department or Union territory means the Reserve Bank or any bank which is appointed to transact business of the Government pertaining to that Ministry or Department or Union territory and is officially recognised for transfer of funds to the Trustee Bank;

- "Accumulated Pension Corpus" means the monetary value of the pension investments accumulated in the Individual Pension Account of a subscriber under the National Pension System;
- "Annuity" means periodic payment by the Annuity Service Provider to the subscriber on purchase of annuity plan out of the Accumulated Pension Corpus;
- "Authority" means the Pension Fund Regulatory and Development Authority established under sub-section (1) of section 3 of the Pension Fund Regulatory and Development Authority Act, 2013;
- "Central Recordkeeping Agency" means an agency registered under section 27 of Pension Fund Regulatory and Development Authority Act, 2013 to perform the functions of recordkeeping, accounting, administration and customer service for subscribers to schemes;
- "Drawing and Disbursing Officer" means a Head of Office and also any other Gazetted Officer so designated by a Department of the Central Government, a Head of Department or an Administrator, to draw bills and make payments on behalf of the Central Government. The term shall also include a Head of Department or an Administrator where he himself discharges such function;
- "Cheque Drawing and Disbursing Officer" means a drawing and disbursing officer functioning under a Ministry or Department (including Central Public Works Department, Forest Department and Departments in which the provisions of Central Public Works Account Code are authorised to be followed) or a Union territory, who is authorised to withdraw money for specified types of payments against an assignment account opened in his favour in a specified branch of an accredited bank;
- "Pay and Accounts Officer" means an officer, whatever his official designation, who maintains the accounts of a Ministry, Department or Office of the Central Government or Union territory and includes an Accountant-General, who is entrusted with the functions of maintaining the accounts or part of accounts of the Central Government or Union territory;
- "Permanent Retirement Account Number" means a unique identification number allotted to each subscriber by the Central Recordkeeping Agency;

General Conditions

4. Registration into National Pension System: -

- A Government servant to whom these rules apply, shall, immediately on joining service submit an application in Common Subscriber Registration Form to the Head of Office for registration to the National Pension System.
- The Head of Office shall on receipt of the application ensure that the application is complete in all respects, countersign it indicating the date of receipt and send it to the Drawing and Disbursing Officer within **three working days** of joining of the Government servant. The Head of Office shall keep a copy of the application form for record.
- The Drawing and Disbursing Officer shall forward the application of individual subscriber to the Pay and Accounts Officer or Cheque Drawing and Disbursing Officer, as the case may be, within **three working days** from the date of receipt of the application from the Head of Office.
- The Pay and Accounts Officer or the Cheque Drawing and Disbursing Officer, as the case may be, shall process the application received from the Drawing and Disbursing Officer and forward it to the Central Recordkeeping Agency through the online system within **three working days** from the date of receipt of the application from the Drawing and Disbursing Officer. The Pay and Accounts Officer or the Cheque Drawing and Disbursing Officer shall also forward duly signed copy of the application to the Central Recordkeeping Agency for record.
- The Central Recordkeeping Agency shall complete registration process and allocate a Permanent Retirement Account Number in respect of each Government servant in the form specified by the Authority as per the turn-around time specified by the Authority. After completion of the registration process, the Central Recordkeeping Agency shall communicate the Permanent Retirement Account Number to the Pay and Accounts Officer or the Cheque Drawing and Disbursing Officer, as the case may be, and also forward Permanent Retirement Account Number kits to the Subscriber in accordance with the process and turn-around time laid down by the Authority.

- The Pay and Accounts Officer or the Cheque Drawing and Disbursing Officer, as the case may be, shall communicate Permanent Retirement Account Number (PRAN) to the concerned Drawing and Disbursing Officer immediately.
- The Drawing and Disbursing Officer shall communicate the Permanent Retirement Account Number (PRAN) to the Head of Office immediately.
- The Head of Office shall intimate the Permanent Retirement Account Number to the Subscriber and shall record the Permanent Retirement Account Number (PRAN) in the Common Subscriber Registration Form and in the service book of the Subscriber and also paste a certified copy of the Common Subscriber Registration Form or any other form specified by the Authority in the service book of the Subscriber within **five working days** thereafter.
- The first contribution of the Government servant shall be credited in his Individual Pension Account within **twenty days** of the date of submission of the application or by the last date of the month in which the Government servant joined, whichever is later.
- In a case where the process of registration of the Government servant in the National Pension System has not been completed before the date of drawl of the salary for the first month or any subsequent month, such salary or salaries shall be paid to the Government servant after withholding the amount of contribution as determined.

5. Emoluments: -

- Basic Pay + Non-Practice Allowance + DA
- On leave - Basic Pay + Non-Practice Allowance + DA
- On Suspension - Subsistence allowance as emoluments

6. Contribution by the Subscriber to the National Pension System: -

- The contribution shall be **10%** of emoluments per month.
- The amount of contribution payable shall be rounded off to the next higher rupee.

- Contribution may be made by the Subscriber, at his option, during the period of suspension.
- Provided that where, in the final orders passed by the Government on conclusion of the inquiry, the period spent under suspension is treated as duty or leave for which leave salary is payable, contributions to the National Pension System shall be determined based on the emoluments which the Subscriber becomes entitled to for the period of suspension. The difference of the amount of contribution to be deposited and the amount of contribution already deposited during the period of suspension, shall be credited to the Individual Pension Account of the Subscriber along with interest. The rate of interest for this purpose would be the rate of interest as decided by the Government from time to time for the Public Provident Fund deposits.
- No contribution shall be made by the Subscriber during the period of absence from duty (whether on leave or otherwise) for which no pay or leave salary is payable.
- During the period of transfer on deputation to a Department or organisation under the Central Government or the State Government, the Subscriber shall remain subject to these rules in the same manner, as if he was not so transferred or sent on deputation and will continue to contribute towards National Pension System based on emoluments worked out.
- Contributions in respect of any arrears of salary received by the Subscriber due to retrospective increase shall be treated as the contributions for the month in which the payments are made.
- The Subscriber shall contribute toward National Pension System during the period spent under probation.
- The Drawing and Disbursing Officer shall deduct the contribution from the salary of the Government servant and send the bill to the Pay and Accounts Officer or Cheque Drawing and Disbursing Officer, as the case may be, along with details of contributions deducted in respect of each Subscriber on or before the **20th (Twentieth day)** of each month.
- A Subscriber may, at his option, make contribution in excess of the contribution in accordance with the procedure laid down by the Authority and the Government.

- The Pay and Accounts Officer or the Cheque Drawing and Disbursing Officer, as the case may be, based on the details of contributions in respect of each Subscriber sent by the Drawing and Disbursing Officer to Pay and Accounts Officer or Cheque Drawing and Disbursing Officer, shall prepare and upload a Subscription Contribution File and generate a Transaction ID by the **25th (Twenty-fifth day)** of each month.
- The Pay and Accounts Officer or the Cheque Drawing and Disbursing Officer, as the case may be, shall remit the contribution to the Trustee Bank through the Accredited Bank by the **last working day** of each month.
- Provided that the contribution for the month of March shall be remitted by the Pay and Accounts Officer or the Cheque Drawing and Disbursing Officer to the Trustee Bank through the Accredited Bank on the **first working day of the month of April**.
- In case of delay in crediting of contribution to the Individual Pension Account of the Subscriber beyond the prescribed timeline due to factors not attributable to the Subscriber, the amount shall be credited to the Individual Pension Account of the Subscriber along with interest for the delayed period.

7. Contribution by the Government.

- The Government shall make contribution of **14%** (fourteen per cent) or such other percentage as may be notified from time to time, of the emoluments of a Government servant to the Individual Pension Account of the Subscriber every month. The amount of contribution payable shall be rounded off to the next higher rupee:
- Provided that in cases where the leave is granted to the Subscriber on medical ground or due to his inability to join or rejoin duty on account of civil commotion; or for pursuing higher studies considered useful in discharge of his official duty, and during such leave, leave salary is not payable or is payable at a rate which is less than full pay, the Government shall make contribution equal to **14%** (fourteen per cent) or such other percentage as may be notified from time to time, of the notional emoluments comprising the amount representing pay and dearness allowance in the leave salary, nonpracticing allowance.

- In the case of a Subscriber under suspension, contribution shall be made by the Government on the basis of the emoluments determined by taking into account the subsistence allowance paid to the Subscriber during the period of such suspension:
- Provided that no contribution shall be made by the Government during the period of suspension where the Subscriber had opted not to pay his contribution during the said period of suspension:
- Provided further that where, in the final orders passed by the Government on conclusion of the inquiry, the period spent under suspension is treated as duty or leave for which leave salary is payable, contributions by the Government to the National Pension System shall be determined based on the emoluments which the Subscriber becomes entitled to for the period of suspension. The difference of the amount of contribution to be deposited by the Government and the amount of contribution already deposited during the period of suspension, shall be credited to the Individual Pension Account of the Subscriber along with interest. The rate of interest for this purpose would be the rate of interest as decided by the Government from time to time for the Public Provident Fund deposits.

8. Interest on delayed deposit of contributions.

- In case of delay, due to factors not attributable to the Subscriber, in,-
 - commencement of monthly contributions on account of delay in registration of the Subscriber in the National Pension System beyond the time limits prescribed (The first contribution of the Government servant shall be credited in his Individual Pension Account within **twenty days** of the date of submission of the application or by the last date of the month in which the Government servant joined, whichever is later) or
 - deduction of monthly contribution from the salary of the Subscriber or crediting to his Individual Pension Account beyond the time limit prescribed; or
 - crediting of the monthly contributions by the Government to the Individual Pension Account of the Subscriber beyond the time limit prescribed.

- the amount of contribution may be credited to the Individual Pension Account of the Subscriber along with interest for the delayed period. The interest shall be credited to the Individual Pension Account of the employee within a period of **thirty days** of the crediting of the amount of contribution. The rate of interest for this purpose would be the rate of interest, as decided by the Government from time to time, for the Public Provident Fund deposits.

9. Investment of the Accumulated Pension Corpus:

- The Accumulated Pension Corpus in respect of a Subscriber shall be invested by such pension fund or funds and in such manner as may be notified by the Authority.

10. Option to avail benefits on death or invalidation or disability of Subscriber during service: -

- **Death/Boarding out on the account of Disablement/Retirement on invalidation (Form-1):**
 - Filling of Form outlines options under CCS Pension Rules, 1972, CCS (Extraordinary Pension) Rules, 1939, or National Pension System.
 - Copy of the Form is dispatched to the Service Book, CRA, and Pay & Account Office.
- **Death/Boarding out on the account of Disablement/Retirement on invalidation (Form-2):**
 - Filling of the form requires details of Family Members and Disabled Child.
- Every Government servant covered under the National Pension System shall, at the time of joining Government service, exercise an option in Form 1 for availing benefits under the National Pension System or under the Central Civil Service (Pension) Rules, 1972 (now 2021) or the Central Civil Service (Extraordinary Pension) Rules, 1939 (now 2023) in the event of his death or boarding out on account of disablement or retirement on invalidation. Government servants, who are already in Government service and are covered by the National Pension System, shall also exercise such option as soon as possible after the notification of these rules.

- The option shall be exercised to the Head of Office who will accept the same after verifying all the facts submitted therein and place it in the service book. A copy of the option shall be forwarded by the Head of Office to the Central Recordkeeping Agency through the Drawing and Disbursing Officer and the Pay and Accounts Officer for their record. The Pay and Accounts Officer shall also make suitable entry in the online system indicating the details regarding the option exercised by the Government servant.
- Every Government servant shall, along with the option in Form 1, also submit details of family in Form 2 to the Head of Office;
- If the Government servant has no family, he shall furnish the details in Form 2 as soon as he acquires a family.
- The Government servant shall communicate to the Head of Office any subsequent change in the size of his family, including the fact of marriage of his child.
- As and when a disability referred to in the provision rule 54 of the Central Civil Service (Pension) Rules, 1972 (now 2021) manifests itself in a child which makes him unable to earn his living, the fact shall be brought to the notice of the Head of Office duly supported by a Medical Certificate from a Medical Officer, not below the rank of a Civil Surgeon. This may be indicated in Form 2 by the Head of Office. As and when the claim for family pension arises, the legal guardian of the child may make an application supported by a fresh medical certificate from a Medical Officer, not below the rank of Civil Surgeon, that the child still suffers from the disability.
- The Head of Office shall, on receipt of the Form 2, acknowledge receipt of the Form 2 and all further communications received from the Government servant in this behalf, countersign it indicating the date of receipt and get it pasted on the service book of the Government servant concerned;
- The Head of Office on receipt of communication from the Government servant regarding any change in the size of family shall incorporate such a change in Form 2.
- The option exercised under Form-1 may be revised at any number of times by the Subscriber before his retirement by making a fresh option intimating his revised

option to the Head of Office. On receipt of the revised option, the Head of Office and the Pay and Accounts Officer shall take further action.

- A Subscriber who is discharged on invalidation or disability shall be given an opportunity to submit a fresh option at the time of such discharge;
- Where such Subscriber does not exercise a fresh option or is not in a position to exercise fresh option at the time of discharge, the option already exercised by the Subscriber shall become operative;
- In the case of death of a Subscriber while in service, the last option exercised by the deceased Subscriber before his death shall be treated as final and the family shall have no right to revise the option.
- Where a Subscriber who did not exercise an option under Form-1 and dies before completion of service of **fifteen years** or within **three years** of the notification of these rules, his family will be granted family pension in accordance with the provisions of the Central Civil Services (Pension) Rules, 1972 (now 2021) or the Central Civil Services (Extraordinary Pension) Rules, 1939 (now 2023) as the case may be, as a default option;
- Where a Subscriber is discharged from Government service on invalidation or disability before completion of service of **fifteen years** or within **three years** of the notification of these rules without exercising an option, and is also not in a position to exercise an option at the time of discharge, he will be granted invalid pension or disability pension in accordance with the provisions of the Central Civil Services (Pension) Rules, 1972 (now 2021) or the Central Civil Services (Extraordinary Pension) Rules, 1939 (now 2023) as the case may be, as default option;
- In all other cases, where no option was exercised by the Subscriber, the claim of the Subscriber on discharge from the service and that of the family on death of the Subscriber, shall be regulated in accordance with the Pension Fund Regulatory and Development Authority (Exits and Withdrawals under National Pension System) Regulations, 2015, as default option.
- In cases where the option exercised by the deceased or the default option for benefit under the Central Civil Services (Pension) Rules, 1972 (now 2021) or the

Central Civil Services (Extraordinary Pension) Rules, 1939 (now 2023) becomes infructuous on account of non-availability of an eligible member of the family for grant of family pension under the Central Civil Services (Pension) Rules, 1972 (now 2021) or the Central Civil Services (Extraordinary Pension) Rules, 1939 (now 2023), such option would be deemed to have become invalid and the benefits admissible under the National Pension System shall be granted to the legal heir(s) of the employee in accordance with the Pension Fund Regulatory and Development Authority (Exits and Withdrawals under National Pension System) Regulations, 2015.

11. Retirement on superannuation:

A Subscriber, who is retired on his attaining the age of superannuation or, if the service of the Subscriber has been extended beyond superannuation, on expiry of such period of extension of service beyond the age of superannuation, shall be entitled to benefits as admissible under the Pension Fund Regulatory and Development Authority (Exits and Withdrawals under National Pension System) Regulations, 2015 to the Subscriber retiring on superannuation.

12. Retirement on completion of twenty years' regular service: -

At any time after a Subscriber has completed **twenty years'** regular service, he may, by giving notice of not less than **three months** in writing to the appointing authority, retire from service: Provided that this rule shall not apply to a Subscriber, including scientist or technical expert, who is,

- on assignments under the Indian Technical and Economic Cooperation (ITEC) Programme of the Ministry of External Affairs and other aid programmes;
- posted abroad in foreign based offices of the Ministries or Departments;
- on a specific contract assignment to a foreign Government, unless, after having been transferred to India, he has resumed the charge of the post in India and served for a period of not less than **one year**.

Explanation. - For the purposes of this rule, - (a) "regular service" shall mean service commencing from the date of joining of a post in the Central Government on a regular basis, whether on direct recruitment or absorption or re-employment basis, and shall include past regular service, in the same or another Central Government Department, a

State Government or an autonomous or statutory body, before joining the present service with proper permission, if such past service is allowed to be counted as qualifying service for the purpose of gratuity in accordance with the orders issued by the Government from time to time.

- periods spent on all kinds of leave (including study leave and extraordinary leave), deputation or foreign service, duly sanctioned by the competent authority, shall be treated as regular service for the purpose of this rule.
- service rendered on casual, ad-hoc or contract basis, before appointment on regular basis, in the same or another Central Government Department, a State Government or an autonomous or statutory body, shall not be treated as regular service for the purpose of this rule.

The notice of voluntary retirement shall require acceptance by the appointing authority: Provided that where the appointing authority does not refuse to grant the permission for retirement before the expiry of the period specified in the said notice, the retirement shall become effective from the date of expiry of the said period. Subscriber may make a request in writing to the appointing authority to accept notice of voluntary retirement of less than **three months** giving reasons therefor.

The appointing authority, on receipt of a request may consider such request for the curtailment of the period of notice of **three months** on merits and if he is satisfied that the curtailment of the period of notice will not cause any administrative inconvenience, the appointing authority may relax the requirement of notice of **three months**. Subscriber, who has chosen to retire under this rule and has given the necessary notice to that effect to the appointing authority, shall be precluded from withdrawing his notice except with the specific approval of such authority: Provided that the request for withdrawal shall be made at least **fifteen days** before the intended date of his retirement.

The Subscriber, on voluntary retirement from service, shall be entitled to benefits admissible under the Pension Fund Regulatory and Development Authority (Exits and Withdrawals under National Pension System) Regulations, 2015 to the Subscriber retiring on superannuation.

13. Benefits on retirement under rule 56 of fundamental rules or under the special voluntary retirement scheme:

A Subscriber, who retires or is retired, in advance of the age of Compulsory retirement in accordance with rule 56 of the Fundamental Rules, 1922; or who, on being declared surplus to the establishment in which he was serving, opts for Special Voluntary Retirement Scheme of Department of Personnel and Training as notified vide Office Memorandum No. 25013/6/2001-Estt. (A) dated the **28th February, 2002** as amended from time to time, shall be entitled to benefits as admissible under the Pension Fund Regulatory and Development Authority (Exits and Withdrawals under National Pension System) Regulations, 2015 to the Subscriber retiring on superannuation:

Provided that a Subscriber who on being declared surplus to the establishment in which he was serving, opts for Special Voluntary Retirement Scheme of Department of Personnel and Training, shall also be entitled to the ex-gratia admissible under the Scheme in addition to benefits admissible under the Pension Fund Regulatory and Development Authority (Exits and Withdrawals under National Pension System) Regulations, 2015. If the Subscriber intends to continue his Individual Pension Account or to defer payment of benefits under National Pension System beyond the date of retirement, he shall exercise an option in this regard in accordance with the Pension Fund Regulatory and Development Authority (Exits and Withdrawals under National Pension System) Regulations, 2015.

14. Resignation from Government service.

On resignation from a Government service or a post, unless it is allowed to be withdrawn in the public interest by the appointing authority, the lump sum and the annuity out of the Subscriber's accumulated pension corpus shall be paid to him in accordance with the regulations notified by the Authority as admissible in the case of exit of a Subscriber from the National Pension System before superannuation:

Provided that such payment of lump sum withdrawal and annuity shall not be made before the expiry of a period of **ninety days** from the date on which the resignation becomes effective and the Subscriber is relieved of his duty: Provided further that if the Subscriber dies before the expiry of a period of **ninety days** from the date on which the resignation becomes effective, the payment shall be made to the person eligible to receive such payment immediately in accordance with the regulations notified by the Authority

as admissible in the case of exit of a Subscriber from the National Pension System before superannuation: Provided also that such person may, at his option, continue to subscribe to the National Pension System with the same Permanent Retirement Account Number, as a non-Government subscriber in accordance with the regulations notified by the Authority. Where with proper permission, the resignation has been submitted to take up another appointment, whether temporary or permanent, in the same or any other Department of the Central Government or the State Government and the employees of such Department are covered by the National Pension System, the Subscriber shall continue to subscribe to the National Pension System with the same Permanent Retirement Account Number on the new appointment and shall be deemed to be a member of the National Pension System from the date he joined the Government service on a post to which he was first appointed: Provided that where the employees of such Department or State Government are not covered by the National Pension System, the Subscriber shall be eligible to receive benefits under National Pension System in accordance with the Pension Fund Regulatory and Development Authority (Exits and Withdrawals under National Pension System) Regulations, 2015 as admissible in the case of exit of Subscriber on superannuation:

Provided further that where the employees of such Department or State Government are not covered by the National Pension System, such subscriber may, at his option, continue to subscribe to the National Pension System with the same Permanent Retirement Account Number as a non-Government subscriber, in accordance with the regulations notified by the Authority, in this regard.

15. Benefit on absorption in or under a corporation, company or body. -

A Subscriber who has been permitted to be absorbed in a service or post in or under a Corporation or Company wholly or substantially owned or controlled by the Central Government or a State Government or in or under a Body controlled or financed by the Central Government or a State Government, shall be deemed to have retired from service from the date of such absorption and shall be eligible to receive benefits under the National Pension System in accordance with the Pension Fund Regulatory and Development Authority (Exits and Withdrawals under National Pension System) Regulations, 2015 as admissible in the case of exit of Subscriber on superannuation: Provided that the Subscriber shall continue to subscribe to the National Pension System with the same Permanent Retirement Account Number in the new organisation if the

same system exists in the new organisation and in that case, he shall not receive any benefit under the National Pension System at the time of such absorption but shall receive benefits after exit from the new body or organisation, etc. where Subscriber has been absorbed: Provided further that where the employees of such autonomous or statutory body or public sector undertaking are not covered by the National Pension System, such subscriber may, at his option, continue to subscribe to the National Pension System with the same Permanent Retirement Account Number as a non-Government subscriber, in accordance with the regulations notified by the Authority.

The provisions shall also apply to the Subscribers who, on conversion of the Government Department in which they were working, into a public sector undertaking or autonomous body controlled or financed by the Central Government, are absorbed in such public sector undertaking or autonomous body. The provisions shall also apply to the Subscribers who are permitted to be absorbed in joint sector undertakings, wholly under the joint control of Central Government and State Governments or Union territory Administrations or under the joint control of two or more State Governments or Union territory Administrations.

16. Entitlement on retirement on invalidation: -

Where a Subscriber, who had exercised option or in whose case the default option for availing benefits under the Central Civil Service (Pension) Rules, 1972 (now 2021) or the Central Civil Services (Extraordinary Pension) Rules, 1939 (now 2023), and in whose case the provision of section 20 of the Rights of Persons with Disabilities Act, 2016 (49 of 2016) are not applicable, retires on account of any bodily or mental infirmity which permanently incapacitates him for the service, further action will be taken by the Head of Office for disbursement of benefits in accordance with the Central Civil Services (Pension) Rules, 1972 (now 2021).

If the Subscriber, avails the benefits under the Central Civil Services (Pension) Rules, 1972 (now 2021), the individual pension account of the Subscriber shall be closed and the Government contribution and returns thereon in the accumulated pension corpus of the Subscriber shall be transferred to Government account. The remaining accumulated pension corpus shall be paid to the Subscriber in lump sum. Where a Subscriber, who had exercised option or in whose case the default option for availing benefits under the National Pension System and in whose case the provision of section 20 of the Rights of Persons with Disabilities Act, 2016 (49 of 2016) are not applicable, retires from the service

on account of any bodily or mental infirmity which permanently incapacitates him for the service, he may be granted benefits in accordance with the Pension Fund Regulatory and Development Authority (Exits and Withdrawals under National Pension System) Regulations, 2015 as admissible in the case of exit of a Subscriber on superannuation. If a Subscriber, who has become eligible to avail the benefits under the National Pension System, intends to continue his Individual Pension Account or to defer payment of benefits under the National Pension System beyond the date of retirement, he shall exercise an option in this regard in accordance with the Pension Fund Regulatory and Development Authority (Exits and Withdrawals under National Pension System) Regulations, 2015.

17. Entitlement on boarding out from service on account of disablement.

Where a Subscriber, who had exercised option or in whose case the default option is for availing benefits under the Central Civil Services (Pension) Rules, 1972 (now 2021) or the Central Civil Services (Extraordinary Pension) Rules, 1939 (now 2023), is boarded out on account of disablement attributable to Government service, further action will be taken by the Head of Office for disbursement of benefits in accordance with the Central Civil Services (Extraordinary Pension) Rules, 1939 (now 2023). If the Subscriber avails the benefits under the Central Civil Services (Extraordinary Pension) Rules, 1939 (now 2023), the individual pension account of the Subscriber shall be closed and the Government contribution and returns thereon in the accumulated pension corpus of the Subscriber shall be transferred to Government account.

The remaining accumulated pension corpus shall be paid to the Subscriber in lump sum. Where a Subscriber, who had exercised option or in whose case the default option of these rules is for availing benefits under the National Pension System, is boarded out on account of disablement attributable to Government service, he may be granted benefits in accordance with the Pension Fund Regulatory and Development Authority (Exits and Withdrawals under National Pension System) Regulations, 2015 as admissible in the case of exit of a Subscriber on superannuation.

If a Subscriber, who has become eligible to avail the benefits under the National Pension System intends to continue his Individual Pension Account or to defer payment of benefits under the National Pension System beyond the date of retirement, he shall exercise an option in this regard in accordance with the Pension Fund Regulatory and

Development Authority (Exits and Withdrawals under National Pension System) Regulations, 2015.

18. Effect of compulsory retirement or dismissal or removal from Government service:

Where a Subscriber, is compulsorily retired from service as a penalty or is dismissed or removed from Government service, the lump sum and the annuity out of his accumulated pension corpus shall be paid to him in accordance with the regulations notified by the Authority payable to the Subscriber as admissible in the case of exit of a Subscriber from the National Pension System before superannuation. Provided that the Subscriber, at his option, may continue to subscribe to the National Pension System with the same Permanent Retirement Account Number as a non-Government subscriber, in accordance with the regulations notified by the Authority. This shall be without prejudice to any action being taken in such cases in respect of gratuity and other retirement benefits not covered by these rules and those benefits shall be regulated in accordance with the rules as applicable to such benefits.

19. Effect of departmental or judicial proceedings pending on retirement: -

Departmental or judicial proceedings, which were instituted while the Subscriber was in service but are not concluded before retirement or the judicial proceedings instituted after retirement of the Subscriber, shall not affect the benefits payable to the Subscriber out of his accumulated pension corpus and the lump sum and the annuity out of his accumulated pension corpus shall be paid to him in accordance with the regulations notified by the Authority as admissible in the case of exit of a Subscriber from the National Pension System on superannuation. The provision under this rule shall be without prejudice to any action being taken in such cases in respect of gratuity and other retirement benefits not covered by these rules and those benefits shall be regulated in accordance with the rules as applicable to such benefits.

20. Entitlement for family on death of a Subscriber.

On death of, a Subscriber, who had exercised option or in whose case the default option under rule 10 is for availing benefits under the Central Civil Services (Pension) Rules, 1972 (now 2021) or Central Civil Services (Extraordinary Pension) Rules, 1939 (now 2023); or a retired Subscriber, who was in receipt of an Invalid Pension under the Central Civil Services (Pension) Rules, 1972 (now 2021) in terms of rule 16 or a disability pension under the Central Civil Services (Extraordinary Pension) Rules, 1939 (now 2023) in terms of rule

17, further action will be taken by the Head of Office for disbursement of benefits in accordance with the Central Civil Services (Pension) Rules, 1972 (now 2021): Provided that if the death is attributable to Government service, further action will be taken by the Head of Office for disbursement of benefits in accordance with the Central Civil Services (Extraordinary Pension) Rules, 1939 (now 2023) subject to fulfilment of all the conditions for grant of benefits under those rules.

If on death of the Subscriber, benefits are payable to the family under the Central Civil Services (Extraordinary Pension) Rules, 1939 (now 2023) or the Central Civil Services (Pension) Rules, 1972 (now 2021) in accordance with sub-rule the Government contribution and returns thereon in the accumulated pension corpus of the Subscriber shall be transferred to Government account.

The remaining accumulated pension corpus shall be paid in lump sum to the person(s) in whose favour a nomination has been made under the Pension Fund Regulatory and Development Authority (Exits and Withdrawals under National Pension System) Regulations, 2015. If there is no such nomination or if the nomination made does not subsist, the amount of remaining accumulated pension corpus shall be paid to the legal heir(s). In the case of death of a Subscriber who had exercised option or in whose case the default option is for availing benefits under the National Pension System, such benefits may be granted in accordance with the Pension Fund Regulatory and Development Authority (Exits and Withdrawals under National Pension System) Regulations, 2015.

21. Preparation of list of Subscriber due for retirement.

- Every Head of Department shall have a list prepared every **three months**, that is, on the **1st January, 1st April, 1st July and 1st October** each year of all Subscribers who are due to retire within the next **twelve to fifteen months** from that date.
- A copy of every such list shall be supplied to the Pay and Accounts Officer concerned not later than the **31st January, 30th April, 31st July** or the **31st October**, as the case may be, of that year.
- In the case of a Subscriber retiring for reasons other than by way of superannuation, the Head of Office shall promptly inform the Drawing and

Disbursing Officer and the Pay and Accounts Officer concerned, as soon as the fact of such retirement becomes known to him.

- A copy of intimation sent by the Head of Office to the Pay and Accounts Officer shall also be endorsed to the Directorate of Estates, if the Subscriber concerned is an allottee of Government accommodation.

22. Intimation to the Directorate of Estates regarding issue of "no demand certificate".-

- The Head of Office shall write to the Directorate of Estates at least **one year** before the anticipated date of retirement of the Subscriber who was or is in occupation of a Government accommodation (hereinafter referred to as allottee) for issuing a 'No demand certificate' in respect of the period preceding **eight months** of the retirement of the allottee.
- On receipt of the intimation, the Directorate of Estates shall take further action as required.

23. Submission of claim for benefits under the National Pension System on superannuation. -

- A Subscriber shall have the option for submission of claim for benefit under the National Pension System through a mode, as specified by the Authority from time to time.
- Every Subscriber shall, **six months** before the date on which he is due to retire on superannuation, or on the date on which he proceeds on leave preparatory to retirement, whichever is earlier, submit to the Head of Office, duly filled withdrawal Form prescribed by the Authority along with the documents mentioned in the withdrawal form.
- In other cases of retirement or exit from the National Pension System, the Subscriber shall submit to the Head of Office, duly filled withdrawal Form prescribed by the Authority along with the documents mentioned in the withdrawal Form immediately after issue of orders of the competent authority for such retirement or exit.

- Where the Subscriber has submitted the claim through online mode, he shall submit a signed copy of the print-out of the said withdrawal Form along with the documents mentioned in the withdrawal Form.
- The National Pension System shall generate claim IDs and inform nodal officers, i.e. the Pay and Accounts Officers or the Cheque Drawing and Disbursing Officers **six months** before the date of retirement for those Subscribers who shall retire on superannuation in the next **six months**.

24. Completion and forwarding of papers for benefits under National Pension System.

-

- The Head of office shall complete the papers on his part and forward the same to the Pay and Accounts Officer through the Drawing and Disbursing Officer with a covering letter in the Form mentioned below, namely: -

Mode of retirement or exit.	Form of covering letter.
Superannuation or Voluntary Retirement or Premature retirement under rule 56(j) of Fundamental Rules or Special Voluntary Retirement Scheme of Department of Personnel and Training.	Form 4-A.
Technical Resignation or Absorption in an autonomous body or Public Sector Undertaking.	Form 4-B.
Resignation or Compulsory Retirement as a measure of penalty or Dismissal or Removal from service.	Form 4-C.
Retirement on Invalidation or Disablement.	Form 4-D.
Death during service.	Form 4-E.

- In the case of a Subscriber retiring on superannuation, the Head of Office shall forward the complete papers to the Pay and Accounts Officer through the Drawing and Disbursing Officer not later than **four months** before the date of retirement of the Subscriber and in other cases, not later than **one month** after the date of retirement or exit of the Subscriber.

- The Head of Office shall retain a copy of each of the forms and documents for his record.
- After processing the withdrawal request in the online system of Central Recordkeeping Agency in accordance with the Pension Fund Regulatory and Development Authority (Exits and Withdrawals under National Pension System) Regulations, 2015, the Pay and Accounts Officer shall forward the documents to the Central Recordkeeping Agency not later than **one month** before the date of retirement of Subscriber.
- In case the Subscriber intends to continue his Individual Pension Account or to defer payment of benefits under the National Pension System beyond the date of superannuation or exit, he shall exercise an option in this regard and send it to the Pay and Accounts Officer through the Drawing and Disbursing Officer not later than **fifteen days** before the date of superannuation.
- Such option shall be processed by the Pay and Accounts Officer in accordance with the Pension Fund Regulatory and Development Authority (Exits and Withdrawals under National Pension System) Regulations, 2015.

25. Subscribers on deputation. -

- In the case of Subscriber who retires while on deputation to another Central Government Department, action to authorise benefits in accordance with the provisions of this rule shall be taken by the Head of Office of the borrowing Department.
- In the case of a Subscriber who retires from service, while on deputation to a State Government or while on foreign service, action to authorise benefits in accordance with the provisions of this rule shall be taken by the Head of Office or the Cadre authority which sanctioned deputation to the State Government or to foreign service.

26. Date of retirement to be notified. -

- When a Subscriber retires from service,
 - a notification in the Official Gazette in the case of a Gazetted Subscriber; and

- an office order in the case of a non-Gazetted Subscriber, shall be issued specifying the date of retirement within **a week** of such date and a copy of every such notification or office order, as the case may be, shall be forwarded immediately to the Pay and Accounts Officer.

Pension Fund Regulatory and Development Authority (Exits and Withdrawals Under the National Pension System) Regulations 2015

PFRDA - Composition of Authority

- **1 - Chairperson:** Hold the office for **5 Years** till attain the age of **65 Years**.
- **3 - Whole time Members:** Hold the office for **5 Years** till attain the age of **62 Years**.
- **3 - Part Time Members:** For **5 Years**.

EXIT FROM NATIONAL PENSION SYSTEM: -

For the purpose of exit from the National Pension System, the subscribers are categorized and defined as,

1) Government sector,

2) Non-Government Sector (All citizens including corporate sector) and

3) NPS- Lite and Swavalamban subscribers.

For Government Sector Employees - Retire on Superannuation/Normal Exit: -

The following case are covered under this rule. (a) Retire on the Age of Superannuation (b) On Completion of **20 years** of Qualifying Service. (c) Retirement under the rule 56 of FR and special voluntary retirement scheme. (d) Absorption in or under a corporation, company or body. (e) Retirement on Invalidation and Discharge due boarding out from service due to disablement. (f) Technically Resignation when the pension rules are different in new department.

Retire on Superannuation/Normal Exit

- **Lump Sum Withdrawal:** 60% of Pension wealth.

- **Purchase of Annuity:** 40% of Pension Wealth.
 - Annuity purchase from Annuity Service Provider results in Pension to Subscriber.
 - After death of Subscriber, Pension to Spouse.
 - After death of Subscriber and Spouse, Pension to living dependent mother and father.
 - After Demise of All family Members , the purchase price of Annuity shall be returned to surviving children , or to Legal Heir in the absence of children.

Deferment of Lumpsum Withdrawal and Annuity: -

Retire on the Age of Superannuation/Post **60 Years**

- **Lump Sum Withdrawal:** Till the age of **85 Years** of Subscriber. Can be withdrawn in a Single Trench or via Systematic Lump Sum Withdrawal (SLW) with a Frequency - Monthly, Quarterly, Half Yearly and Annual. Contribution and Conditional/Partial Withdrawal Not Allowed.
- **Purchase of Annuity:** Till the age of **85 Years** of Subscriber.

Stoppage of last month deductions by employer at the time of Superannuation-

- There is no deduction of contribution from the last month salary of employee.
- The employer co-contribution will be paid with salary of employee.

Continuation of Individual Pension Account (NPS) after Superannuation: -

- Continuation of NPS after **60 Years**.
- **15 days** prior to inform CRA through PAO.
- Contribution allowed till **85 years**. Can be Exit at any time.

Exit Scenario / Event	Accumulated Pension Wealth (APW) at the time of exit (₹)	Utilization of Accumulated Pension Wealth (APW) - Lump Sum (Entire Lump Sum or systematic lump sum withdrawal or systematic unit redemption or as per other approved option)	Utilization of Accumulated Pension Wealth (APW) - Systematic Unit Redemption for at least six years	Utilization of Accumulated Pension Wealth (APW) - Annuity
Upon retirement (or) Upon discharge from service	≤ 8 lakh	100%	Not Applicable	Not Applicable
	(Or)	Or	Or	Or
	> 8 lakh ≤ 12 Lakh	Up to 60%	Not Applicable	At least 40%
		Up to ₹6 lakh	Balance of APW remaining after lump Sum	Not Applicable
		Up to ₹6 lakh	Not Applicable	Balance of APW remaining after lump sum
	(Or)	Or	Or	Or
	> 12 lakh	Up to 60%	Not Applicable	At least 40%

Upon resignation / removal from Service	≤ 5 lakh	100%	Not Applicable	Not Applicable
	(Or)	Or	Or	Or
	> 5 lakh	Up to 20%	Not Applicable	At least 80%
Upon death	≤ 8 lakh	100%	Not Applicable	Not Applicable
	(Or)	Or	Or	Or
	> 8 lakh ≤ 12 Lakh	Up to 20%	Not Applicable	At least 80%
		Up to ₹6 lakh	Balance of APW remaining after lump sum	Not Applicable
		Up to ₹6 lakh	Not Applicable	Balance of APW remaining after lump sum
	(Or)	Or	Or	Or
	> 12 lakh	Up to 20%	Not Applicable	At least 80%

For Government Sector Employees – Retirement before Superannuation/ Premature Exit: -

The following cases are covered under this rule.

- (a) Leaving the service before attaining the age of superannuation prescribed by the service rules applicable.
- (b) Death of Subscriber
- (c) Resignation from service voluntarily
- (d) Compulsory Retirement, dismissal or removal from service.

Retirement before Superannuation/Premature Exit

- **Lump Sum Withdrawal:** 20% of Pension wealth
- **Purchase of Annuity:** 80% of Pension Wealth
- Annuity purchase from Annuity Service Provider -> Pension to Subscriber -> After death of Subscriber, Pension to Spouse -> After death of Subscriber and Spouse, Pension to living dependent mother and father -> After Demise of All family Members -> The purchase price of Annuity shall be returned to surviving children -> To Legal Heir in the absence of children

Non-Government Subscriber (Corporate Sector): -

Exit Scenario / Event	Accumulated Pension Wealth (APW) at the time of exit (₹)	Utilization of Accumulated Pension Wealth (APW) - Lump Sum (Entire Lump Sum or systematic lump sum withdrawal or systematic unit redemption or as per other approved option)	Utilization of Accumulated Pension Wealth (APW) - Systematic Unit Redemption for at least six years	Utilization of Accumulated Pension Wealth (APW) - Annuity
Upon ≥ 15 years of subscription, or on attaining 60 years, or on superannuation (or) Upon physical incapacitation	≤ 8 lakh	100%	Not Applicable	Not Applicable
	(Or)	Or	Or	Or
	> 8 lakh ≤ 12 lakh	Up to 80%	Not Applicable	At least 20%
		Up to ₹6 lakh	Balance of APW remaining after lump sum	Not Applicable
		Up to ₹6 lakh	Not Applicable	Balance of APW remaining after lump sum
	(Or)	Or	Or	Or
	> 12 lakh	Up to 80%	Not Applicable	At least 20%

Upon voluntary exit	≤ 5 lakh	100%	Not Applicable	Not Applicable
	(Or)	Or	Or	Or
	> 5 lakh	Up to 20%	Not Applicable	At least 80%
Upon death	Any APW	Up to 100%	Not Applicable	Up to 100%
Exit by individuals who joined on or after 60 years	≤ 12 lakh	100%	Not Applicable	Not Applicable
	(Or)	Or	Or	Or
	> 12 lakh	Up to 80%	Not Applicable	At least 20%
Upon death of individuals who joined on or after 60 years	Any APW	Up to 100%	Not Applicable	Up to 100%

NPS- Lite and Swavalamban subscribers:

- For a Swavalamban subscriber the annuity purchased by utilizing the mandatory minimum of **40%**.
- Out of the accumulated pension wealth shall yield at least a monthly annuity or pension of **Rs.1000** per month, failing which the entire accumulated pension wealth shall be annuitized in such a manner so as to yield at least a monthly annuity or pension of **Rs. 1000** and balance if any thereafter shall be paid as lump sum to the subscriber.
- However there shall be no implicit or explicit guarantee that the annuity purchased even with entire accumulated pension wealth would yield a monthly annuity or pension of **one thousand rupees**:
- Where the accumulated pension wealth does not exceed **Rs.2 Lakhs**, the whole of the pension wealth shall be paid to the subscriber, without any annuitization.
- Provided further that the migration of Swavalamban subscriber or subscribers to any other pension scheme of Government of India and as approved by the Authority shall not be deemed as an exit and withdrawal for the purposes of these regulations.
- Where a subscriber who, before attaining the age of **sixty years**, dies, the entire accumulated pension wealth of the subscriber shall be paid to the nominee, or the legal heir of such subscriber and there shall not be any condition of mandatory purchase of annuity and provision of a monthly or periodical pension and there shall not be any requirement of the annuitization of the accumulated pension wealth of such deceased subscriber.
- The nominee or family members of the deceased subscriber shall have the option to purchase any of the annuities being offered upon exit, if they so desire.
- Provided that, where a nomination is not registered by the subscriber before his death, the accumulated pension wealth of such subscriber shall be paid to the family members on the basis of the legal heir certificate issued by the Revenue authorities of the State concerned or the succession certificate issued by a court of competent jurisdiction.

Exit Scenario / Event	Accumulated Pension Wealth (APW) at the time of exit (₹)	Utilization of Accumulated Pension Wealth (APW) - Lump Sum (Entire Lump Sum)	Utilization of Accumulated Pension Wealth (APW) - Annuity
Upon attaining 60 years	≤ 2 lakh	100%	Not Applicable
	(Or)	Or	Or
	> 2 lakh	Up to 60%	At least 40%
Upon death	Any APW	Up to 100%	Up to 100%
Before attaining 60 years	≤ 2 lakh	100%	Not Applicable
	(Or)	Or	Or
	> 2 lakh	Up to 20%	At least 80%

One Way Switch: Unorganized Sector Tier - I -> Corporate Sector Tier - I

WITHDRAWALS, PURPOSE, FREQUENCY AND LIMITS UNDER NATIONAL PENSION SYSTEM

A partial withdrawal of accumulated pension wealth of the subscriber, not exceeding **25%** of the contributions made by the subscriber and excluding contribution made by employer, if any, at any time before exit from National Pension System for any of the following purposes only:-

- a) for Higher education of his or her children including a legally adopted child
- b) for the marriage of his or her children, including a legally adopted child;
- c) for the purchase or construction of a residential house or flat in his or her own name or in a joint name with his or her legally wedded spouse. In case, the subscriber already owns either individually or in the joint name a residential house or flat, other than ancestral property, no withdrawal under these regulations shall be permitted (**One-Time in entire service**);
- d) for medical treatment or hospitalisation of self or legally wedded spouse, children, including legally adopted children or parents in respect of the following diseases:
 - (i) Cancer;
 - (ii) Kidney Failure (End Stage Renal Failure);
 - (iii) Primary Pulmonary Arterial Hypertension;
 - (iv) Multiple Sclerosis;
 - (v) Major Organ Transplant;
 - (vi) Coronary Artery Bypass Graft;
 - (vii) Aorta Graft Surgery;
 - (viii) Heart Valve Surgery;
 - (ix) Stroke;
 - (x) Myocardial Infarction;

- (xi) Coma;
 - (xii) Total blindness;
 - (xiii) Paralysis;
 - (xiv) Accident of serious/ life threatening nature.
 - (xv) any other critical illness of a life-threatening nature as stipulated in the circulars, guidelines or notifications issued by the Authority from time to time.
- (e) to meet medical and incidental expenses arising out of the disability or incapacitation suffered by the subscriber
 - (f) towards settlement of a financial obligation availed by a subscriber from a regulated financial institution against the lien or the charge marked on the individual pension account.

Limits: the permitted withdrawal shall be allowed only if the following eligibility criteria and limit for availing the benefit are complied with by the subscriber:-

- (a) the subscriber shall have been in the National Pension System at least for a period of last **three years** from the date of his or her joining;
- (b) from accumulated pension wealth of the subscriber, not exceeding **25%** of the own contributions made by the subscriber.

Frequency: the subscriber shall be allowed to withdraw only a maximum of **three times** during the entire tenure of subscription under the National Pension System.

Subscriber who remains in the National Pension System beyond the age of **sixty years** or beyond superannuation or retirement, whichever is later, shall be eligible to make partial withdrawal from an individual pension account, with a minimum interval of **three years** between successive withdrawals, of an amount not exceeding **25%** of:

- Contribution, in case there is only one contribution stream, or
- Own contribution, in case there is more than one contribution stream.

The mandatory requirement of **four years** having elapsed between two withdrawals shall not apply in case of treatment for specified illnesses or in case of withdrawal arising out of exit from National Pension System due to the death of the subscriber.

A subscriber having a valid and active Tier-II account of the Permanent Retirement Account can withdraw the accumulated wealth either in full or part, at any time by applying for such withdrawal, on such application form and in such mode and manner, as may be specified by the Authority in this behalf.

There shall be no limit on such withdrawals till the account has sufficient amount of accumulated pension wealth to take care of the applicable charges and the withdrawal amount:

Provided that the Tier-II account shall stand automatically closed at the time of exit of the subscriber from the National Pension System, even if an application so specified for the purpose has not been received from the subscriber, and the accumulated wealth in such account shall be transferred to the bank account provided by the subscriber, while submitting his application for exit from the National Pension System.

Pension Fund Manager under NPS: -

A. Pension Funds (PFs) for Government Sector

1. SBI Pension Funds Pvt. Ltd.
2. LIC Pension Fund Ltd.
3. UTI Retirement Solutions Ltd.

B. Pension Funds (PFs) for Other than Government Sector

1. SBI Pension Funds Pvt. Ltd.
2. LIC Pension Fund Ltd.
3. UTI Retirement Solutions Ltd.
4. HDFC Pension Management Co. Ltd.
5. ICICI Prudential Pension Fund Management Co. Ltd.

6. Kotak Mahindra Pension Fund Ltd.
7. Aditya Birla Sunlife Pension Management Ltd
8. Axis Pension Fund Management Ltd.
9. DSP Pension Fund Managers Pvt Ltd.
10. Tata Pension Management Pvt Ltd.

Annuity Service Provider: -

1. Life Insurance Corporation of India
2. HDFC Standard Life Insurance Co. Ltd.
3. ICICI Prudential Life Insurance Co. Ltd
4. SBI Life Insurance Co. Ltd
5. Star Union Dai-ichi Life Insurance Co. Ltd
6. Kotak Mahindra Life Insurance Co. Ltd.
7. India First Life Insurance Co. Ltd.
8. Max Life Insurance Co. Ltd.
9. Canara HSBC Oriental Bank of Commerce Life Insurance Company Limited
10. BAJAJ ALLIANZ LIFE INSURANCE COMPANY LIMITED
11. Tata AIA Life Insurance Company Ltd.
12. Edelweiss Tokio Life Insurance Company Limited
13. PNB Metlife India Insurance Company Limited
14. Shriram Life Insurance Company Ltd
15. Aditya Birla Sun Life Insurance Company Ltd.

Tax Benefits under NPS (Old Tax Regime)

- Any individual who is Subscriber of NPS can claim tax benefit under Sec 80 CCD (1) within the overall ceiling of **Rs. 1.5 lac** under Sec 80 CCE.
- Employer's contribution: Up to **14%** of Basic and DA (no upper limit ceiling) under section 80-CCD(2). This rebate is over and above section 80-C.
- An additional deduction for investment up to **Rs. 50,000** in NPS (Tier I account) is available exclusively to NPS subscribers under subsection 80CCD (1B). This is over and above the deduction of **Rs. 1.5 lakh** available under section 80C of Income Tax Act, 1961.
- Subscriber can partially withdraw from NPS tier I account before the age of **60** for specified purposes. According to Budget 2017, amount withdrawn up to **25%** of Subscriber contribution is exempt from tax.
- Amount invested in purchase of Annuity, is fully exempt from tax. However, annuity income that you receive in the subsequent years will be subject to income tax.
- After Subscriber attains the age of **60** or superannuation, up to **60%** of the total corpus withdrawn in lump sum is exempt from tax under section 10(12A).
- For example: If total corpus at exit is **10 lakhs**, then **60%** of the total corpus i.e., **6 lakhs**, you can withdraw without paying any tax. So, if you use **60%** of NPS corpus for lump sum withdrawal and remaining **40%** for annuity purchase, you do not pay any tax at that time. Only the annuity income that you receive in the subsequent years will be subject to income tax as per the applicable tax slab.

Tax Benefits under NPS (New Tax Regime)

- Employer's contribution: - Up to **14%** of Basic and DA (no upper limit ceiling) under section 80-CCD(2)
- After Subscriber attains the age of **60** or superannuation, up to **60%** of the total corpus withdrawn in lump sum and **40%** annuity purchase is exempt from tax under section 10(12A).

Minimum contribution criteria in NPS

	Tier-I	Tier-II
Initial Contribution	Rs. 500/-	Rs. 1000/-
Minimum amount per Contribution	Rs. 500/-	Rs. 250/-
Minimum contribution per financial year	Rs. 1000/-	NIL

National Pension Scheme Tier II- Tax Saver Scheme, 2020**Short title and commencement.**

1. This scheme may be called the National Pension Scheme Tier II- Tax Saver Scheme, 2020
2. It shall come into force from the date of its publication in the Official Gazette (07.07.2020)

Investment

1. The assesses, being a Central Government employee, shall make contribution to the specified account which has been activated by the authority in accordance with the provisions of this scheme. The minimum amount of contribution to activate the specified account shall be **Rs. 1000/-** and minimum amount of subsequent contribution shall be **Rs. 250/-**.

Lock-in-period

1. The contribution made under this scheme shall have a lock in period of **3 years** from the date of credit of amount to the specified account.

Transferability

1. The contribution made to the specified account shall not be permitted to be assigned, pledged or hypothecated during the lock-in-period.

Investment choice for Government Sector Employee in NPS -

The Central Government NPS Subscriber can choose any one of the available PFs and investment option as per their choice among the following:

- (a) **Active Choice** - 100% Allocation in Government Security (G)
- (b) **Conservative Auto Choice** - 25% Allocation in Equity Asset Class (E), 45% Allocation in Corporate bond and 30% Allocation in Government Security (up to 35 years). After 35 years the ratio in equity and corporate bond will be decreased and increased in Government Securities. At the age of 55 years and above the ratio in E : C : G = 5:5:90
- (c) **Moderate Auto Choice** - 50% Allocation in Equity Asset Class (E), 30% Allocation in Corporate Bond (C) and 20% Allocation Government Security (G) (up to 35 years). After 35 years the ratio in equity and corporate bond will be decreased and increased in Government Securities. At the age of 55 years and above the ratio in E : C : G = 10:10:80

The Asset allocation as mentioned above can be changed **two times** in a financial year and PF can be changed **once** in a financial year.

There are 5 types of annuity investment plans to choose from:

1. **Annuity for life:** annuity or pension payable to you at a consistent rate. On death of the Annuitant, policy shall terminate and no further benefits would be payable.
2. **Annuity payable for Life with 100% annuity payable to spouse on death of annuitant:** annuity or pension payable to the subscriber and then to their spouse after their demise. On death of the last survivor, the annuity payments will cease and no further amount will be payable.
3. **Annuity for life with return of purchase price on death:** This option pays annuity for life. On death of the Annuitant, the Purchase Price is paid out to the nominee and thereafter the policy shall terminate and no further benefits would be payable.
4. **Annuity payable for Life with 100% annuity payable to spouse on death of annuitant with RoP of annuity:** The annuity payable as long as at least one of the two annuitants is alive. On the death of the primary annuitant, secondary

annuitant will receive **100%** of original annuity throughout life. On death of the last survivor, **100%** of the purchase price is returned to the nominee.

5. **NPS Family Income (Default Annuity Scheme):** Annuity payments would be made to the annuitant and his/her spouse throughout their lifetime. On death of annuitant and spouse, the annuity would be paid to the subscriber's mother and after her, to the father. On death of the last survivor, the purchase price would be refunded to the annuitant's child/ nominee.

